

As the COP16 on biodiversity concluded last week in Cali, Colombia, LVMH is announcing a series of new initiatives to strengthen its commitment to biodiversity. These actions are part of the Group's LIFE 360 program, which places ecosystem preservation at the heart of its environmental strategy.

LVMH and WWF unite to protect the Congo Basin rainforest

LVMH Group has chosen to partner with the World Wildlife Fund (WWF) in a committed alliance to preserve the Congo Basin rainforest. This tropical region, spanning six African countries, is often described as the planet's second "green lung." It is home to an exceptional biodiversity, representing approximately 10% of the world's plant, bird and mammal species. The Congo Basin plays a crucial role in regulating the global climate, thanks to its capacity to store the carbon equivalent to ten years of global CO2 emissions.

Within the framework of a coalition of partners led by WWF France starting in 2025, LVMH will support restoration efforts and protection from this essential forest basin, a sanctuary for emblematic species. This support will help establish conservation projects with local communities to promote sustainable forestry and agroforestry practices, ensuring both environmental preservation and the socio-economic development of local communities. LVMH has set ambitious goals to preserve five million hectares of natural habitats by 2030, and this partnership with WWF is an important step toward that target. As of 2023, over 3.1 million hectares have already been protected, thanks in part to the Group's commitment to preserving biodiversity in the Amazon.

Furthermore, LVMH is strengthening its commitment with SBT Nature, particularly within the pilot phase of the developing standard. This standard aims to define pathways for reducing environmental impacts related to nature (water, biodiversity, etc.) on a watershed and ecosystem scale. In the context of SBT Nature announcements at COP 16 in Cali, LVMH confirms the validation of targets by SBT Nature for a precious wool supply chain in Asia (focused on "land" and "freshwater quantity" goals) and a grape supply chain in France (focused on the "land" goal).

"At LVMH, we have always maintained that our creativity depends on the natural resources we borrow from the planet. It is our duty to preserve them and to give back to nature what we owe. This collaboration with WWF in the Congo Basin reflects our commitment to balancing economic development with biodiversity" said Antoine Arnault, LVMH Image and Environment Director.

This initiative began with a large-scale consultation on the online platform Make.org, engaging and raising public awareness to protect and restore wildlife and plant life.

This consultation, which took place from June 25 to September 22, 2024, brought together over 374,000 participants and nearly 1.8 million votes. Key themes identified included sustainable development planning, restoration of natural ecosystems, and resource management. These topics will be explored further in workshops organized by the end of 2024. LVMH has also planned to extend this consultation to its teams in the United States and China.

True to its vision of responsible luxury, LVMH intends to translate these initiatives into tangible actions for a more sustainable future. Such commitments illustrate the Group's "Joining Forces" philosophy, which values collaboration among all stakeholders for economic development that preserves biodiversity. In this spirit, LVMH has pledged to train 100% of its teams on sustainable development issues by 2026.

"We are at a crucial moment for biodiversity, both globally and in Europe. Biodiversity is a theme that resonates with people; it's a genuine opportunity to draw them towards environmental action in a concrete way. It's an accessible, encouraging entry point—a first step toward lasting commitment. This is why, together with the OFB and our corporate and association partners, we launched a Grand Cause dedicated to preserving and restoring biodiversity. We are delighted to have the support of LVMH, Guerlain, and Moët Hennessy as they join us in this major three-year initiative of public interest. Our goal is to mobilize all of society around consensual actions that will have a decisive impact on biodiversity preservation" said Axel Dauchez, president of Make.org.

LVMH'S COMMITMENTS TO ENVIRONMENTAL STEWARDSHIP

Building on its recognized leadership in climate, forest, and water protection transparency and performance—an achievement that earned the Group a place on the Carbon Disclosure Project's (CDP) 2023 annual "A List"—LVMH continues advancing toward environmental excellence.^[1] Guided by its LIFE 360 roadmap, which includes specific, measurable targets, the Group has announced its first results during the LIFE 360 Summit on December 14 2023 at the UNESCO.

LIFE 360 is an action program with specific, measurable targets aimed at forging a new alliance between nature and creativity: products in harmony with nature that protect biodiversity and the climate by engaging all stakeholders.

A true environmental compass for the Group, LIFE 360 is structured around the climate and three other pillars:

1. Climate

LVMH's total carbon footprint is 6.3 million metric tons of CO2 equivalent, highlighting significant challenges, such as the sourcing of raw materials and packaging, as well as upstream and downstream transportation. The Group aims to align its carbon trajectory with the Paris Agreement:

- By reducing greenhouse gas emissions linked to site and store energy consumption by 50% by 2026 (compared to a base year of 2019) thanks to a 100% renewable energy policy. 2023 performance: -28%
- By reducing or avoiding Scope 3 GHG emissions (raw materials and transport) by 55% per unit of added value by 2030. 2023 performance: -29.9%

1. Creative Circularity

The LVMH Group puts its creativity at the service of the environmental excellence of its products and packaging:

- By 2030, 100% of the Group's new products will follow an eco-design process, with a controlled environmental footprint from the extraction of materials to their production.
- Packaging follows the same trajectory, with a target of zero virgin plastic by 2026. 2023 performance: -13% (vs 2019)
- The Group will build on a key attribute of luxury products—their durability—by enhancing it through sophisticated repair services, as well as upcycling or reusing precious materials like leather and fur, and exploring alternative materials.

1. Traceability and transparency

Tracking a material's journey from origin through each transformation stage is essential to ensure responsible practices. LVMH maintains a certification policy across sectors and supply chains:

- By 2030, 100% of the Group's strategic supply chains will have a dedicated traceability system.
- The Group will strengthen the integration of livestock and tanning activities, particularly for exotic leathers, giving it direct leverage to ensure responsible practices. 2023 performance: Sheep and cow leather – Country of origin known 96%, Wools 88%...
- The final step in this traceability goal is a commitment to transparency for the Group's customers: by 2026, all new products will include a dedicated information system. This is an essential tool to ensure excellence in practices. 2023 performance: 30,000 products sold (9,500 in 2022)

IV. **Biodiversity**

LVMH's activities have a close connection to nature and would not exist without livestock, grape cultivation, or other plant species. The Group is committed to giving back to nature what it borrows from it.

- LVMH plans “zero sourcing” in areas at very high risk of deforestation or desertification, as well as 100% of strategic raw materials certified according to the most demanding standards for the preservation of ecosystems and water resources by 2026. 2023 performance: Leather 96%, Gold 95%, LVMH vineyards 96%....
- The Group has begun to roll out regenerative agriculture programs, and has set itself the target of rehabilitating five million hectares of wildlife habitat by 2030. 2023 performance: 3.1 million hectares
- More mobilized than ever on the issue of animal welfare, LVMH continues to roll out the charter published in 2019 by working actively with suppliers.
- LVMH has set itself the target of reducing its water withdrawals linked to Scopes 1, 2 and 3 by 30% by 2030.